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SYCSE A1

Business Cash Flow Cycle:

1. The business cash flow cycle describes how money moves into, through, and out of a business.

2. It starts when a company invests cash to buy raw materials, inventory, or services needed to operate.

3. These inputs are then used to produce goods or deliver services to customers.

4. Once products or services are ready, the business sells them to customers.

5. If customers pay immediately, cash returns quickly to the business.

6. If sales are made on credit, the business must wait for payments, slowing down the cash flow cycle.

7. The collected cash is then used to pay suppliers, employees, and other operating expenses.

8. Efficient management of inventory, production time, and credit terms helps shorten the cycle.

9. A shorter cash flow cycle means the business can reuse its cash faster to generate more sales.

10. Ultimately, the cash flow cycle shows how effectively a business converts its investments into cash that supports growth and stability.